

CASE STUDY / COMMERCIAL HVAC

Orchestrating a Sophisticated Founder Transition

A majority recapitalization for a commercial HVAC enterprise — a dual-path exit that let one founder retire and the other keep building, structured to close all-cash through a 2025 credit crunch.

SECTOR Commercial HVAC & Facility Services	TRANSACTION Majority Recapitalization & Buyout	CLOSED November 2025	RESULT 2.0× above benchmark
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THE SITUATION

Designing a dual-path exit.

The owners of a premier commercial HVAC enterprise — a husband-and-wife team — approached the market to secure the company's legacy while pursuing different personal timelines. One partner was ready for retirement; the other had the energy and conviction to keep leading growth.

They sought an exit that respected both paths, but were initially unaware of the structured mechanisms — specifically a majority recapitalization — that could facilitate such a tailored outcome.

THE CHALLENGE

Navigating a 2025 credit crunch.

The Market Gap

By late 2025, credit markets were tightening significantly. Traditional roll-up PE firms reliant on high leverage were struggling to meet premium valuation expectations.

The Complexity of “Staying In”

Structuring a deal where a founder retains 20% equity requires high-level advisory across operating agreements, distribution waterfalls, and non-compete terms that protect the minority holder.

THE BOUTIQUE STRATEGY

Network-driven execution.

Strategic Architect

We introduced the equity-roll concept early — immediate liquidity for one partner and a second bite of the apple for the other.

Leveraging the Advisor Network

The buyer — a sophisticated family office — was surfaced through our private network, ensuring an all-cash close that bypassed volatile debt markets.

Professionalism as Currency

We made the transaction transactable through rigorous preparation and hands-on management of complex governance documents.

THE RESULTS

A premium outcome — on the founders' terms.

2.0×

Above the 2025 industry benchmark for comparable HVAC assets.

100%

Goal alignment — a full exit for one partner, a 20% equity carry for the other.

All-Cash

Close in November 2025 — maximum price certainty through a credit crunch.

Family Office

A cash-ready buyer surfaced through Madfarm's private network.

A boutique firm's specific network and high-touch structuring outperformed the broader market — proof that how a deal is run changes what it returns.

“Our role was to translate the founders' vision into a structure they didn't yet know was possible. By leveraging our private network to find a cash-ready family office, we didn't just close a deal — we built a partnership that rewarded the sellers' hard work and protected their future upside.”

Madfarm Advisors · Sell-side advisor